

FINANCIAL MISTAKES

... And How to Avoid Them

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Big losses? Think market crash, companies going bankrupt, bank robbery...think financial mistakes. Yes. Investor mistakes stack up to cost much more than you think. And we aren't even talking about the more complicated equity-related ones like mis-timing the markets. Committed out of ignorance, inertia, laziness or confusion, these mistakes can add up to a fortune over a life time. Though mistakes are costly, they are deceptively simple to understand and overcome, if you notice them. There are more potent scamsters than Hars-had Mehta hidden in your investment behaviour. What follows is a compilation of six such common though costly mistakes that every earning individual should relate to. But the purpose of the list is not merely to pinpoint where you are going wrong. Look at the mistakes with a different perspective and you see nuggets of wisdom on the fundamentals of financial planning. Hidden in each solution is the way you ought to save and invest. Here's a tip on how to extract the best of the story: scan all the mistakes and focus on those you commit. Then re-read it from start to finish. We are sure you will have a clearer vision of your investment goals and strategy. A bonus: look out for the financial intelligence meter.

— MISTAKE NO. 1 — CONFUSING SALARY WITH INCOME

Do you assess your financial worth by the number of zeroes in your pay slip?



- ❶ Confusing salary with income
- ❷ Putting all eggs in one basket
- ❸ Sticking to same investments at 25 and 55
- ❹ Taking inadequate or wrong life insurance
- ❺ Starting retirement planning at 40
- ❻ Being credit-friendly when one shouldn't be

